

Northgate Talent Partners LLC

www.northgatetalent.com

April 29, 2019

Amy Alvarez
General Manager
Howard, Carlson and Tran

Dear Ms. Alvarez:

You gave us the better part of an afternoon last week, and most of it went to what this role is for and very little of it to what it costs. That order helps us more than you might think. We would be glad to conduct the search. This letter sets out the agreement between us, and I have written it in plain language so that it can be read once and understood.

Please read it against your own notes from that afternoon. If a term here sits differently from what you understood, telephone me before you sign and we will settle it between us.

The Role We Are Retained to Fill

Northgate will conduct a retained search for the general counsel of Howard, Carlson and Tran, reporting to you. The role is defined by a written position specification. We draft it with you, you approve it, and no one is approached before you have. Everything after that point is measured against it. If the market disagrees with the specification, and on a role of this kind the market usually has an opinion, we bring the disagreement back to you and change the document openly.

Two things sit outside this letter. We are not reviewing your outside counsel arrangements, and we are not searching for the other positions we touched on at the end of the afternoon. Either can be taken up under a separate engagement. If this search raises a question of that kind, and searches for a first senior lawyer often do, we will put it in front of you and wait for your instruction before we act on it.

Our Method, Stage by Stage

The work runs in five stages and each one gates the next. You will know at any point in the search which stage we are in and what is holding up the one after it.

- 1. Specification. We interview you and the executives this lawyer will sit alongside, then draft a document that states what the role owns, what it does not, and what a person must have done before to hold it. Your approval closes the stage.
- 2. Market map. We chart where lawyers of this description actually sit today: your revenue band, the two sectors either side of it, and the firms that serve them. You see the map, so that you can tell us where we have looked in the wrong place.
- 3. Approach. Our consultants make every approach themselves and by telephone. Nothing goes out until you have read the long list with us and told us where you disagree with it.
- 4. Assessment. Everyone carried forward is interviewed against the specification and written up before they travel any further. Nobody reaches a slate on the strength of a good conversation alone.
- 5. Slate and references. We present the slate in person, take the references on the finalists ourselves, and stay with you through the offer and through the resignation your candidate has to go and hand in.

We are retained rather than contingent, and the difference shows up in how we behave rather than in what we charge. What you are buying is the whole of the market looked at properly, including the parts of it that turn out to hold no one, and an honest account of what we found there.

Who Will Do the Work

Sandra Fuentes leads the search and is your point of contact from the first specification interview through to the day the appointment is announced. James Grant works the assessment alongside her and takes the second read on every candidate who reaches a written appraisal. Nicole Donovan holds the research, the record, and the calendar; when you need a session moved or a document sent, she is the shortest route to it. I remain accountable for the engagement. If at any point you are not getting what this letter describes, telephone me directly and say so.

One habit of ours is worth stating now, because it will show up in every document you receive from us. Candidates are described by the role they hold today and the scale of the business they hold it in, never by name, until they have spoken to their own employer and are ready for the conversation to be real. In a market this size, one

name in the wrong room ends a search and does a good deal of damage on its way out.

Fee, Expenses, and When Work Begins

Our fee for this search is a fixed \$62,000, payable in three parts: one third on your signature of this letter, one third when we present the slate, and the balance when your chosen candidate accepts. The fee does not move with the salary you agree, and we take no percentage of it. Invoices fall due thirty days from issue.

Expenses are billed at cost and itemized on each invoice: our travel to interviews, candidate travel where we have asked someone to come to you, and any external verification you instruct us to run. We ask your approval in advance for any item of real consequence. Our work begins May 9, 2019, and the specification interviews are the first thing we will want in the diary.

How Long This Runs, and How It Ends

We plan the search over about four months from the day work begins. Searches move at the speed of the calendars involved, and if we come to think we are behind we will tell you at that moment and not at the point where it has become obvious to both of us. Either of us may end this engagement on thirty days' written notice. If you end it, you owe the portion of the fee earned to that date together with expenses already incurred, and we hand over the specification, the market map, and the record of every conversation held on your behalf. Nothing in the file is kept back.

What Stays Between Us

What you tell us about Howard, Carlson and Tran, about your people, and about your plans stays inside the engagement team and is never carried into another search. The same protection runs the other way for the candidates we speak to, which is why their names reach you and go no further. For the term of this engagement and for twelve months after it closes, we will not approach an employee of Howard, Carlson and Tran on behalf of another client of this firm.

The Limits of What We Promise

We do not guarantee an appointment. We guarantee the work: the market covered, every candidate assessed against the specification you approved, and a straight account of what we found, including the parts you would have preferred we had not. Our liability under this agreement is limited to the fees you have paid us under it. If the lawyer we place leaves within twelve months, other than through redundancy or

a material change to the role, we conduct one replacement search and charge you expenses only.

The Law That Applies

This agreement is governed by the law of the state in which our office is established, and any dispute arising under it belongs in the courts of that state. If a provision of this letter is found unenforceable, the remainder stands. Signed, this letter is the whole of the agreement between us on this search, and neither of us should rely on anything said before it.

If this reflects your understanding, please sign both copies and return one to me. The next step is a short one. Sandra Fuentes will telephone your office this week to fix the specification interviews for the opening days of the engagement, and we would ask that the second of them include whoever manages your work with outside counsel today.

Kelly Chavez

Managing Director

Date: April 29, 2019

Amy Alvarez

General Manager, Howard, Carlson and Tran

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